



FIRST SEMESTER 2026-27
COURSE HANDOUT

Date: 05.08.2026

In addition to part I (General Handout for all courses appended to the Time table) this portion gives further specific details regarding the course.

Course No. : ECON F312
Course Title : Money, Banking and Financial Markets
Instructor-in-charge : ARUN KUMAR GIRI
Tutorial Instructor : Arun Kumar Giri

1. Course Description:

Money and its functions; money market; foreign exchange market; financial market; financial derivatives; the banking firm; non-banking financial institutions; Indian banking; monetary transmission mechanisms; money and inflation; central banking; determinants of money supply; tools, goals and targets of monetary policy; international monetary and financial system.

2. Scope & Objective of the Course:

- ⇨ To study the mechanisms of debt market and role played by interest rate
- ⇨ To study the dynamics and money market and stock market
- ⇨ To explore the structure of financial system and understand the reasons financial crisis
- ⇨ To understand the role of central banks and commercial banks in regulation money supply in the economy.
- ⇨ To discuss the role of central banks in the conduct of monetary policy
- ⇨ To study the foreign exchange rate dynamics and foreign exchange risk
- ⇨ To discuss the risk management techniques for financial institutions.

3. Text Book:

Mishkin, Frederic S, Stanley G Eakins, Tulsi Jayakumar, and Hemant Manuj, “Financial Markets and Institutions, Pearson Education, Tenth Edition, 2024.

4. Reference Books:

- R1. Paul Jastin and Padmalatha Suresh, “Management of Banking and Financial Services”, Pearson Education, Third Edition, 2014.
- R2. Mishkin Frederic S, “The Economics of Money, Banking and Financial Markets”, Pearson Education (AW), Eleventh Edition, 2019.
- R3. H.J. Johnson, Financial Institutions & Markets: A Global Perspective; McGraw Hill, 1993 (Int. edition.)

5. Learning Outcomes:

- ⇨ Identify the implications, risks, and opportunities of global markets.
- ⇨ Acquire and demonstrate analytical and problem solving skills within money, banking, and financial market.
- ⇨ Assess how monetary activities affect an economy.
- ⇨ Describe the structure of financial markets, the factors that shape them, and how they are regulated.
- ⇨ Explain the role of financial markets in the economy.
- ⇨ Explain the basic purposes of the monetary and financial systems.
- ⇨ Identify the markets for stocks, bonds, derivatives, and currencies.
- ⇨ Explain the roles of banks and other financial intermediaries.
- ⇨ Analyze how the central bank affects the economy.
- ⇨ Assess how a financial crisis happens and how policymakers should respond.



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6. Course Plan:

No. of Lectures	Learning Objective	Topic to be Covered	Reference (TB)	Learning Outcome
3	Overview, Composition and economic significance	Why Study Financial Markets and Institutions?	Chapter 1	Knowledge regarding fundamentals of Financial markets and institutions
3	Money & Capital Interface	Overview of the Financial System,	Chapter 2	Understanding fundamentals of Financial system.
3	Understanding Financial Markets	Why Do interest Rates Mean and What is Their Role in Valuation	Chapter 3	Fundamentals of interest rate and their role in valuation
3	Understanding Financial Markets	Why do Interest Rate Change?	Chapter 4	Understanding of volatility of interest rate and its implications
3	Factors Affecting interest Rates	How do Risk and Term Structures affect interest Rates?	Chapter 5	Analytics behind the risk and term structures of interest rates
2	To Study the Efficiency of Financial Markets	Are Financial Markets Efficient?	Chapter 6	Understanding the market efficiency and rational expectations
2	Structure of Financial Institution	Why do Financial Institutions Exist	Chapter 7	Analyzing the role of financial institutions
2	Causes of financial crisis	Why Do Financial Crisis Occur and why are they so damaging to the Economy?	Chapter 8 Chapter 12 (R2) Chapter 13 (R2)	Understand the causes and consequences of a financial crisis.
2	Functions of Central Bank	Central Bank and Reserve Bank of India	Chapter 9	Role of Central Banks in controlling the money supply
2	Conduct of Monetary Policy	Conduct of Monetary Policy: Tools, Goals and Strategy and tactics	Chapter 10	Understand the Monetary policy and strategy in the conduct of monetary policy
2	Transmission Mechanism	Transmission Mechanisms of Monetary Policy	Chapter 26 (R 2)	Operations of monetary policy
2	Why we need money and bond markets	The Money and Bond market	Chapter 11 & 12	Functions of Money and Bond markets
3	International Interface	Foreign Exchange Market	Chapter 14	Working of foreign exchange markets
3	International Risk Management.	International Financial System	Chapter 15	Understand the role of International financial derivatives
2	Banking business operations	Banking and Management of Financial Institutions	Chapter 16	Analytics behind the bank management
2	Risk Management	Risk Management in Financial Institutions	Chapter 19	Risk Management of Banks and Financial institutions
3	Types, designs and basis of financial derivatives	Hedging With Financial Derivatives	Chapter 20	Understand the concept of hedging with financial derivatives.



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7. Evaluation Scheme:

Component	Duration (Mins)	Marks (200)	Date	Nature of component (Close Book/ Open Book)
Mid Semester Test	90	50	09/10 (FN1)	Partly Open Book
Tutorial Tests (Best 2)	45 each	40		Closed Book
Assignment	--	20		Take Home
Class Participation	Every Class	10	Continuous	----
Comprehensive Exam	120	80	15/12 (FN)	Closed Book

8. Chamber Consultation Hours: Tuesday, 4 PM to 5PM

9. Notices

For course-related announcements, please check your email regularly. All the information will also be communicated during the class.

10. Make-up Policy

Make-up for the Mid-Semester and Comprehensive examinations shall be granted only in genuine cases (such as hospitalization) after a thorough examination of the application. The conduct of make-up is to be decided by the instructor-in-charge/instructors only.

11. Note

Evaluative components will be conducted during scheduled hours as specified. Changes, if any, will be communicated well in advance. Please quote your ID number and name before requesting anything related to the course. *Students must write correct ID numbers in all the evaluative components; failing to do so will result in their answer sheets not being evaluated.*

12. Minimum performance requirement for a valid grade:

The passing marks for the course will be determined based on one of the two criteria: 30% of the median of the post comprehensive examination marks or 20% of the top 3 scorer (whichever is lower)

Instructor-in-charge
ECON F312